

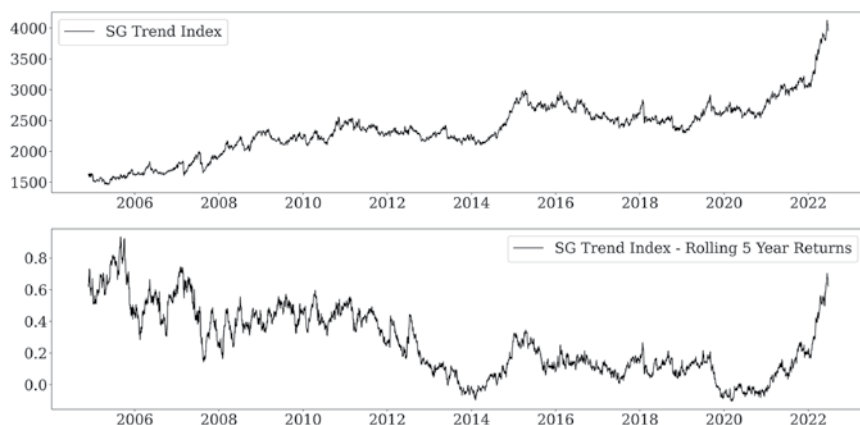


FIGURE 14.1 Trend-following rolling returns.

a sharp rise. Just when everyone least expected it, trend following came back in a big way.

Addressing the decline in returns first, one obvious factor is the interest rate situation. The absolute optimal condition for trend following is when we have high interest rates, while they are slowly and steadily decreasing. In such a situation, we print money on both ends. We get free money on excess capital, due to the high interest rates, and at the same time we stay long bonds to profit from the trend in decreasing rates. That game can, of course, only last so long, as we have seen in recent years. If rates keep decreasing, they will sooner or later reach such low numbers that two things happen. First, our free income is gone, and, second, they really can't go down much more.

As of writing of this book, we are starting to see interest rates move up again, even if we are very far from the good old days of the 1980s and 1990s, but it is not up to me or any other systematic trader to speculate on where this may be heading in the future. Should rates continue to hike, we would, however, be well positioned to take advantage of it.

Regardless, what we are seeing in 2021 into 2022 shows us that while trend following had a slow phase, it's far from dead. In 2022, the stock market was taking a beating while trend following saw record returns, once again providing its worth in terms of diversification and crisis alpha.

■ Setting the Initial Risk Level

One of the most important decisions you need to make before starting actual trading is what risk level to aim for. Setting your position sizes is the